

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: adequate

Top improvement

Open independently with a hypothesis-driven structure. Restate the objective (reverse the 24% to 6% margin decline), split profit into revenue (price × volume) and costs (COGS, labor, overhead), and state which bucket you suspect and why. Your analysis after the hint was strong, but you needed two interviewer assists just to get started, and that is the gap most likely to cost you an offer.

Rubric Scores

Problem Structuring

needs work

What needs work

Once prompted to think like a CFO, the candidate listed relevant coffee-shop cost lines and grouped them into a usable three-bucket cost tree, but could not produce any structure independently and needed a Level 1 restate and a Level 2 narrowing hint before even naming profit = revenue - costs.

- “hmm, I'm not sure. I don't really know where to start.”
- “I'm stuck, sorry. Can you point me at where to look?”
- “coffee beans and milk, cups, paying baristas, rent for the stores, utilities, maybe marketing.”
- “maybe ingredients, people, and the store stuff like rent?”

The candidate correctly chose to look at costs before revenue, with a brief reason, but the first prioritization within costs was an unsupported guess that the data later contradicted.

- “I'd look at people first, I think baristas probably cost the most.”
- “costs, probably, since revenue went up.”

Missed opportunities

Turn 1, right after the prompt: 'How would you approach this problem?'

A great answer: “The CEO wants to know why net margin fell from 24% to 6% while revenue grew 15%, and how to reverse it. Profit is revenue minus costs. On revenue I'd split price versus volume, which means stores, transactions per store and ticket. On costs I'd split COGS (beans, dairy, packaging, food), labor, and overhead/rent. Revenue grew, so my hypothesis is that costs grew faster, most likely input costs, without a matching price increase. I'd start by looking at each cost line as a percentage of revenue across the two periods. I'd also ask whether peers are seeing the same squeeze.”

Turn 13, when grouping costs and choosing where to start

A great answer: “I'd group these into ingredients/COGS, labor, and occupancy/overhead. I don't yet know which is largest, so rather than guess I'd ask for each bucket as a percentage of revenue for both periods. My working hypothesis is COGS, because coffee and dairy commodity prices have been volatile.”

Quantitative & Analytical Rigor

adequate

What went well

The candidate decomposed the COGS increase with correct nested-percentage conversions and checked that the parts reconciled to the 58% total.

- “Beans were 25% of that, so 10.5% of revenue; up 40% makes it 14.7%, so +4.2 points.”
- “Together that's 58%, which matches.”

The candidate correctly separated ticket growth from transaction growth and sanity-checked the store data.

- “Revenue up 15% with ticket up ~10% means transactions are up only about 5% ($1.15 / 1.10 \approx 1.045$).”
- “ $200 \times \$2.4M = \$480M$, checks out.”

What needs work

The candidate conflated restoring the COGS ratio with restoring the 24% margin, which overstates the required price increase. Holding costs at \$451.2M, a 24% margin needs revenue of $\$451.2M / 0.76 \approx \$594M$, which is about a 24% price increase, not 38%. A 38% increase would push margin to roughly 32%. This conceptual error made full recovery look less achievable than it is.

- “To get all the way to 24% you'd need closer to the 38% increase, which I don't think is realistic in one move.”

The 10–15% price range was first asserted without derivation, but when the interviewer asked the candidate to size it, the candidate set up the full P&L, computed it accurately, and translated the result into margin points recovered.

“Something smaller, maybe 10-15% phased in, would recover a good chunk.”

“Today profit is 6% of \$480M = \$28.8M. After, it's \$540M \$451.2M = \$88.8M, or 16.4% of revenue.”

“So about 10 of the 18 points come back, not the full gap.”

Missed opportunities

Turn 37, after computing that 12.5% recovers about 10 of the 18 points

A great answer: “To get fully back to 24%, costs of \$451.2M need to be 76% of revenue, so revenue needs to be about \$594M. That is roughly a 24% price increase, not 38%; the 38% figure restores the COGS ratio, which is a stricter target. So a 12.5% increase now plus a second step of about 10%, combined with procurement savings, could plausibly close the full gap.”

Data & Exhibit Interpretation

strong

What went well

The candidate read all three cost lines, isolated COGS as the driver, and correctly explained why percentage-of-revenue points equal the margin impact rather than cost that simply scaled with growth.

“okay so COGS is the problem, not labor like I guessed.”

“If COGS stayed at 42%, it would have grown with revenue but the margin would be the same. So the 16 points is the part that isn't just scaling.”

The candidate looked inside COGS and found that beans explain only about 4 of the 16 points. The candidate drew the implication (broad input inflation) and immediately asked for the next data point, menu prices.

“So it's broad input inflation, not just beans — beans are actually the smaller piece.”

“Do we have menu price history?”

The candidate linked the ticket data to a possible mix effect inside COGS, but assumed the extra items per visit were food and dairy without asking for the product mix to confirm it.

“So part of the margin hit may be mix — they're selling more of the stuff that costs the most — on top of pure inflation.”

“the extra items are probably food and dairy drinks”

Missed opportunities

Turn 29, after spotting the possible mix effect

A great answer: “To test this, I'd want the share of revenue from food and dairy-heavy drinks now versus two years ago. If that share is up, part of the COGS increase is mix rather than inflation, and the fix is targeted repricing of those items.”

Business Judgment & Insight

adequate

What went well

The candidate surfaced demand risk and competitive context, and proposed mitigations: a store pilot and a loyalty program to soften the increase.

“Risks: demand could fall — transactions only grew 5%, so the base is fragile, and I don't know what competitors have priced.”

“if you're raising prices, giving regulars points or a free drink softens it and keeps traffic from dropping.”

What needs work

Several assumptions were stated as fact before being checked. One was that labor was the biggest cost; another was that 15% growth was all volume, which the candidate had to walk back.

“I think baristas probably cost the most.”

“Revenue grew 15% with flat prices, so that's volume, not price”

The candidate showed good commercial sense in proposing a phased, targeted increase instead of a one-shot jump, but judged full margin recovery unrealistic based on the overstated 38% figure (about 24% is actually needed), which weakened the case for a second pricing step.

“To get all the way to 24% you'd need closer to the 38% increase, which I don't think is realistic in one move.”

“I'd phase in 10-15% rather than the ~38% that would fully restore the ratio, starting with the food and add-on items”

Missed opportunities

Turn 35, when choosing where the price increase lands

A great answer: “I'd weight the increase toward specialty drinks where loyal customers are less price-sensitive, and keep the core drip coffee price steady to protect traffic. Procurement on dairy and packaging matters more than beans, since those inputs are about 12 of the 16 points.”

Creativity & Brainstorming

adequate

What went well

The candidate offered a non-obvious idea: daypart expansion to sweat fixed store assets, grounded in the low transaction growth.

"there may be room to grow traffic — dayparts outside the morning rush, like afternoon or food-driven visits, since stores are already paid for."

The candidate prioritized explicitly, putting price first and deprioritizing overhead.

"Honestly I'd still start with price."

"I'd check overhead too, though it's only 2 points, so it's not where I'd spend time."

What needs work

The candidate generated several distinct cost-side levers, including selective repricing of add-on items and portion/waste control, but listed ideas as a flat sequence with no upfront mini-structure, and revenue- and customer-side ideas came only after the interviewer supplied that bucket.

"A few things. They could lock in bean and dairy costs"

"They could lock in bean and dairy costs with longer-term supplier contracts instead of buying at spot"

"Third, portion and waste control — if any of the 16 points is spillage or oversized pours, that's recoverable without touching price."

Missed opportunities

Turn 31: 'what else could Brew & Bean do to protect its margin?'

A great answer: "I'll split this into three buckets. First, pricing and mix: targeted price increases and promoting higher-margin items. Second, input costs: procurement contracts, supplier consolidation, recipe and portion standards. Third, volume: loyalty, new dayparts, new products. Then I'll rank them by speed and size of impact."

Synthesis & Recommendation

strong

What went well

The candidate led with a clear answer and a root-cause statement.

"My recommendation: raise menu prices. That's the root cause — input costs rose about 38-40% over two years and prices haven't moved at all, so the entire increase hit margin."

Supporting evidence was tied directly to the analysis: COGS points, the bean versus other split, and ticket growth driving the choice of where to raise prices.

"Beans are only about 4 points of it; dairy, packaging and food are roughly 12."

The candidate named the key risk and concrete next steps.

"Risks: demand could fall — transactions only grew 5%, so the base is fragile, and I don't know what competitors have priced."

"Next steps: test the increase in a subset of the 200 stores and get margin by product before deciding where the increase lands."

What needs work

The recommendation did not state how much of the 18-point gap the proposed increase closes; that came only after the interviewer asked.

"I'd phase in 10-15% rather than the ~38% that would fully restore the ratio"

Missed opportunities

Turn 35, stating the size of the price move

A great answer: "A 12.5% increase, holding volume flat, takes margin from 6% to about 16%, recovering roughly 10 of the 18 points. Procurement and waste savings plus a later second pricing step close the rest."

Communication & Delivery

adequate

What went well

The candidate built on the interviewer's cues, such as the revenue decomposition hint.

"So I'd want: stores, transactions per store, and ticket. That tells me whether this is 200 stores doing more volume or just more stores."

What needs work

From the analysis onward, the candidate communicated crisply with answer-first statements and hypothesis language, but the opening was hesitant and unstructured, with the candidate asking whether to guess and repeatedly saying they were stuck instead of thinking aloud.

"I'm not sure what you mean — do you want me to guess why profits went down?"

"I'm stuck, sorry. Can you point me at where to look?"

"okay so COGS is the problem, not labor like I guessed."

"If costs rose ~38-40% across the board and they never raised prices, that would explain why it all hit margin."

The brainstorm opened without stating its structure upfront.

| "A few things. They could lock in bean and dairy costs"

Missed opportunities

Turn 3, when unsure where to start

A great answer: "Let me take thirty seconds to organize my thoughts. Then I'll walk you through how I'd break the profit decline down, starting from revenue minus costs."

Pushback, Composure & Case Leadership

adequate

What went well

When challenged on the volume claim, the candidate acknowledged the error specifically and updated with a clear plan for the data needed.

| "Right, I jumped."

| "So I'd want: stores, transactions per store, and ticket."

When asked to defend 'a good chunk', the candidate answered the precise question with a full calculation and held the phased-pricing position with reasoning.

| "So about 10 of the 18 points come back, not the full gap."

What needs work

In the second half, the candidate drove the case by proactively requesting menu prices and competitor pricing, but at the opening the candidate was passive and asked the interviewer to point the way, which required Level 1 and Level 2 assists.

| "I'm stuck, sorry. Can you point me at where to look?"

| "but I don't know what to ask about them."

| "Do we have menu price history?"

| "Do we know anything about what competitors have done with their prices?"

Missed opportunities

Turn 5, after the interviewer's restate

A great answer: "Let me start with a hypothesis. Revenue grew but margin collapsed, so costs must have grown faster than revenue. I'd ask for the cost lines as a share of revenue now versus two years ago."

Model Answer

Structure

Strong structure disaggregates profit = revenue - costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

How would you like to approach this? Feel free to take a moment to gather your thoughts first.

Candidate · 0:29

I'm not sure what you mean — do you want me to guess why profits went down?

Interviewer · 0:31

No guessing. I'd like you to lay out how you would structure the problem to find the root cause. You can ask me clarifying questions first, or take a minute and then walk me through your approach.

Candidate · 1:07

hmm, I'm not sure. I don't really know where to start.

Interviewer · 1:08

Take your time. The question on the table is how you would break down this profit decline to find its root cause, and you're welcome to ask me any clarifying questions first.

Candidate · 1:46

I'm stuck, sorry. Can you point me at where to look?

Interviewer · 1:48

No need to apologize, but I can't hand you the structure. Start with something simple: profit is the result of what two things, and how might you split the problem using that?

Candidate · 2:18

revenue and costs, I guess? but I'm not sure what to do with that.

Interviewer · 2:21

That's a starting point. I can share the data on that if it would help. I can't share those figures at this stage. Revenue grew while margin fell, so which of those two would you look at first, and what would you want to know about it?

Candidate · 2:40

costs, probably, since revenue went up. but I don't know what to ask about them.

Interviewer · 2:41

Okay, costs it is. Picking up what you asked about before: Total revenue is \$480M a year. If you were the CFO of a coffee shop, what are the main things you'd spend money on to run it?

Candidate · 3:00

coffee beans and milk, cups, paying baristas, rent for the stores, utilities, maybe marketing.

Interviewer · 3:01

Okay. Now take that list and group it into a few buckets, then tell me which bucket you'd want to look at first and why.

Candidate · 3:24

maybe ingredients, people, and the store stuff like rent? I'd look at people first, I think baristas probably cost the most.

Interviewer · 3:26

That's a structure: ingredients, people, and store costs. You've said baristas probably cost the most, but nothing so far supports that. What would you want to see to decide which bucket to prioritize?

Candidate · 3:42

how much of the \$480M goes to each bucket? the breakdown.

Interviewer · 3:44

Yes, that's the right data to ask for, and it's earned. I'll give you each bucket as a share of revenue, for both periods. COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%.

Candidate · 4:18

okay so COGS is the problem, not labor like I guessed. 58% minus 42% is 16 points, and 16% of \$480M is about \$77M. Labor's flat and overhead only moved 2 points, so that's small by comparison.

Interviewer · 4:20

Walk me through that \$77M. Is that figure the margin problem, or does it include cost that simply scaled with revenue growth?

Candidate · 5:08

I think the percentages already handle that. If COGS stayed at 42%, it would have grown with revenue but the margin would be the same. So the 16 points is the part that isn't just scaling. 16% of \$480M is \$76.8M of extra cost. And margin fell 18 points total, so COGS explains most of it, overhead the other 2.

Interviewer · 5:11

Okay. The point change is the margin impact, and the arithmetic holds against what we have. Now that COGS is the area, what would you want to dig into next to understand why it rose?

Candidate · 5:38

what's actually inside COGS? like how much is coffee beans versus milk versus cups. and did bean prices go up?

Interviewer · 5:41

Coffee beans were 25% of COGS two years ago. Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

Candidate · 6:50

Let me do it. Two years ago COGS was 42% of revenue. Beans were 25% of that, so 10.5% of revenue; up 40% makes it 14.7%, so +4.2 points. The other 75% is 31.5% of revenue; up 37.5% makes it 43.3%, so +11.8 points. Together that's 58%, which matches.

So it's broad input inflation, not just beans — beans are actually the smaller piece. Do we have menu price history? If costs rose ~38-40% across the board and they never raised prices, that would explain why it all hit margin.

Interviewer · 6:52

Okay. You've asked for menu price history, and that's worth pulling. Menu prices have not changed in two years.

Candidate · 8:16

That explains it. Revenue grew 15% with flat prices, so that's volume, not price — they sold more and absorbed every bit of the cost increase.

Rough sizing: to get COGS back from 58% to 42% of revenue, with costs fixed, they'd need revenue to rise by a factor of 58/42, about 1.38 — so roughly a 38% price increase. That feels way too steep to push through at once. Something smaller, maybe 10-15% phased in, would recover a good chunk.

Do we know anything about what competitors have done with their prices? If everyone's facing the same bean and dairy inflation, Brew & Bean may be the only one who hasn't moved.

Interviewer · 8:18

You've said the 15% growth is volume, with prices flat. That isn't something I have data on. Revenue is also stores times traffic times ticket, so what would you need to check before saying the growth came from more customers rather than something else?

Candidate · 9:17

Right, I jumped. Revenue could have grown because they opened stores, not because each store got busier. Do we know the store count two years ago versus the 200 today? And average ticket — if prices are flat but ticket moved, the mix changed, like people buying more food or larger sizes.

So I'd want: stores, transactions per store, and ticket. That tells me whether this is 200 stores doing more volume or just more stores.

Interviewer · 9:20

I'm releasing the store count and average ticket. I don't have transactions per store as its own figure, but I do have revenue per store. 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit. Average revenue per store is \$2.4M a year.

Candidate · 10:45

Okay, so 200 stores both periods — no new stores. Revenue per store is \$2.4M, and $200 \times \$2.4M = \$480M$, checks out.

Revenue up 15% with ticket up ~10% means transactions are up only about 5% ($1.15 / 1.10 \approx 1.045$). So most of the growth is people buying more per visit, not more customers.

And that matters for COGS: the extra items are probably food and dairy drinks, which is exactly the "other inputs" bucket that's up 37.5% and makes up three quarters of COGS. So part of the margin hit may be mix — they're selling more of the stuff that costs the most — on top of pure inflation.

Interviewer · 10:47

Understood. Beyond the pricing question you've raised, what else could Brew & Bean do to protect its margin?

Candidate · 12:15

A few things. They could lock in bean and dairy costs with longer-term supplier contracts instead of buying at spot — that doesn't fix the level but stops it getting worse. With 200 stores there may also be buying scale they aren't using.

Second, the mix point: if the added items per visit are low-margin food, they could reprice those specifically rather than the whole menu, or push higher-margin items.

Third, portion and waste control — if any of the 16 points is spillage or oversized pours, that's recoverable without touching price.

I'd check overhead too, though it's only 2 points, so it's not where I'd spend time.

Interviewer · 12:17

Okay. You've covered cost-side and mix levers. What ideas would you add on the customer and revenue side, such as demand, loyalty, or new products?

Candidate · 13:38

A loyalty program could help — if you're raising prices, giving regulars points or a free drink softens it and keeps traffic from dropping.

New products: they could add higher-margin items, things that aren't bean or dairy heavy. Though I'd want to know margins by product before pushing that.

Also, transactions were only up ~5%, so there may be room to grow traffic — dayparts outside the morning rush, like afternoon or food-driven visits, since stores are already paid for.

Honestly I'd still start with price. Costs rose ~38% and prices rose zero for two years, so that's the gap.

Interviewer · 13:41

Okay. Putting the analysis and those ideas together, what's your recommendation to the CEO?

Candidate · 15:11

My recommendation: raise menu prices. That's the root cause — input costs rose about 38-40% over two years and prices haven't moved at all, so the entire increase hit margin.

The math: COGS went from 42% to 58% of revenue, 16 points, about \$77M on \$480M. Labor was flat and overhead moved 2 points, so COGS is essentially the whole 18-point decline. Beans are only about 4 points of it; dairy, packaging and food are roughly 12.

I'd phase in 10-15% rather than the ~38% that would fully restore the ratio, starting with the food and add-on items, since ticket growth is coming from extra items per visit. Alongside that, lock in supplier contracts and tighten waste.

Risks: demand could fall — transactions only grew 5%, so the base is fragile, and I don't know what competitors have priced. Next steps: test the increase in a subset of the 200 stores and get margin by product before deciding where the increase lands.

Interviewer · 15:13

You said a 10-15% increase would recover a good chunk. Walk me through how much of the margin decline that actually closes.

Candidate · 16:41

Let me do it at 12.5%, holding volume flat. Revenue goes from \$480M to \$540M. Costs don't change in dollars: COGS \$278.4M (58% of 480), labor \$105.6M, overhead \$67.2M — total \$451.2M.

Today profit is 6% of \$480M = \$28.8M. After, it's \$540M - \$451.2M = \$88.8M, or 16.4% of revenue.

So about 10 of the 18 points come back, not the full gap. To get all the way to 24% you'd need closer to the 38% increase, which I don't think is realistic in one move.

And that assumes no volume loss. If transactions drop, say, 5%, you'd give back a chunk of it — which is why I'd test it in a subset of stores first.

Interviewer · 16:42

That's our time. Thanks for working through this with me — your written report will follow.